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₿itcoin v Gold

On hard money, soft arguments, and the house built on rock

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EDITOR · THE RATTY2TAILS PAPERS

A MONETARY HISTORY ESSAY

On the Mallers–Schiff debate, and what it reveals about the nature of money

Contents

EDITOR'S DIGEST

TL;DR

In Brief

- In August 2024, Strike CEO Jack Mallers and gold advocate Peter Schiff debated, moderated by David Lin, whether Bitcoin or gold is the superior form of money. This essay restages the strongest exchanges and tests them against the older Austrian tradition both men claim to represent.
- Schiff's headline claim — that Bitcoin priced in gold has fallen since 2021 and is therefore in structural decline — mistakes a three-year drawdown inside a longer adoption cycle for a trend; gold itself, inflation-adjusted, has not reclaimed its own 1980 high in over forty years.
- The "inherent value" argument against Bitcoin collapses under the same Austrian subjective-value theory that gold bugs otherwise rely on: value is not a property of matter but a judgment made by acting individuals.
- The claim that infinite divisibility undermines scarcity confuses the count of denominations with the count of units — 21 million whole coins is the supply constraint, however finely each coin is subdivided.
- Gold's deeper problem is not physical but institutional: it cannot achieve final settlement between strangers at global scale without a trusted third party, and it was that dependence on custodians — not any flaw in the metal — that let governments demonetise it in 1933, 1944, and 1971.
- Both assets are, in the end, attempts to build monetary life on something firmer than a promise — which is the thread this essay follows to its close.

I

Introduction and Scope

In the last week of August 2024, a podcast appearance did what a decade of white papers and op-eds had not quite managed: it put the two clearest living voices of hard money in the same room and let them disagree, cordially, in real time. On one side sat Peter Schiff, the stock-broker-turned-perennial-Cassandra who has spent thirty years warning that fiat currency is a slow-motion confiscation and that gold is the only honest escape from it. On the other sat Jack Mallers, the founder of the Bitcoin payments company Strike, a man half Schiff's age who has built his career on the wager that Schiff is right about the disease and wrong about the cure. David Lin moderated. The exchange, released that weekend, was immediately reworked, clipped, and re-litigated across the commentary ecosystem that now surrounds every major Bitcoin debate — this essay is one more entry in that tradition, written some distance from the noise and with an eye to the older arguments the two men were, often without saying so, actually having.

The value of the debate is not that it settled anything — debates rarely do — but that it forced two people who already agree on the disease (debased, discretionary fiat currency) to argue in detail about the cure. That argument turned out to hinge on a small number of genuinely old questions: what gives anything value, what scarcity actually means, what money is for, and why an asset that worked for five thousand years might nonetheless have failed at the one job that mattered most. Those questions predate both men by centuries. Carl Menger asked the first when he set out the origin of money in 1871; Ludwig von Mises answered a version of the second in his regression theorem half a century later. Restaging the debate through that older lens is the purpose of this essay — not to declare a winner, but to show which side of each exchange survives contact with the theory both camps claim as their own.

What follows takes the debate's five sharpest exchanges in turn: the price-in-gold argument, the inherent-value objection, the divisibility challenge, the definitional question of what money actually is, and the historical question of why gold stopped functioning as money in the first place. It closes on the one point where Mallers and Schiff needed no moderator to agree, and on the older text that both of their positions, in their different ways, are quietly trying to honour.

II

The Debate, Restaged

The format was simple and, for once, genuinely adversarial rather than performed: two guests, one host, no script. Schiff's opening framing was that Bitcoin's dollar-denominated all-time highs are a category error — the only honest ruler for a monetary asset, he argued, is another monetary asset, and against gold, Bitcoin was still more than thirty percent below the peak it reached in 2021. Mallers did not dispute the number. He disputed the frame, arguing that a three-year window inside an asset's fifteen-year history is not evidence of decline but the shape every adoption cycle has taken so far: a run to a new high against gold, a multi-year drawdown Schiff would call a "gold bear market," and then another run past the old high. Zoomed out, Mallers argued, that pattern does not describe an asset losing a race. It describes one still finding its price.

From there the debate moved through five recognisable fronts, each a variation on a question the sound-money tradition has been arguing about since well before either man was born: does scarcity alone confer value, or must an asset be useful for something else besides being scarce; is infinite divisibility a loophole in Bitcoin's fixed supply or an irrelevant technicality; what, definitionally, qualifies something as money if not universal acceptance at the point of sale; and why, if gold really was the best money human civilisation ever produced, does almost no one use it to buy anything today. The final front was less an argument than an admission — both men, unprompted, conceded that the deeper opponent was not each other but the fiat system that made this argument necessary in the first place.

> *"You can't call an asset over a three-year period a bear market when, over its history, it's continuously outperformed the alternative, over and over again. To me that looks like adoption cycles — that doesn't look like a bear market."*
>
> JACK MALLERS, ON BITCOIN PRICED IN GOLD

It is worth being honest about where each man had the stronger ground, because the debate's real value lies in the specific exchanges rather than in the verdict. Schiff's price-in-gold framing is a legitimate discipline — it is precisely the kind of relative-price thinking Bitcoiners themselves use when they insist that dollar-denominated highs mean less than they look like. But Mallers's cyclical rebuttal is also empirically sound: it describes the pattern Bitcoin has in fact followed since 2013, and a discipline that only gets applied when it produces an unfavourable reading for Bitcoin is not really a discipline. The sections that follow take each of the debate's remaining fronts on their own terms.

III

Priced in Gold: Cycles or Decline?

Schiff's strongest single point in the entire exchange was not really about Bitcoin at all. It was about gold, and it cuts against his own thesis in a way he did not dwell on: gold, corrected for inflation, still has not reclaimed the real high it set in the early 1980s, more than four decades ago. An asset marketed for half a century as the definitive hedge against currency debasement has, on its own preferred metric, failed to keep pace with the debasement it was supposed to hedge. That is a genuinely awkward fact for the gold thesis, and Mallers was right to note it in passing rather than let it slide.

The chart below sets out both sides of the comparison the debate actually turned on: Bitcoin's average annual return over the trailing decade against gold's own inflation-adjusted return over the same period, using the figures both men cited on air. The gap is not a rounding error, and it is the number Schiff's price-in-gold framing has to explain away rather than simply invoke.

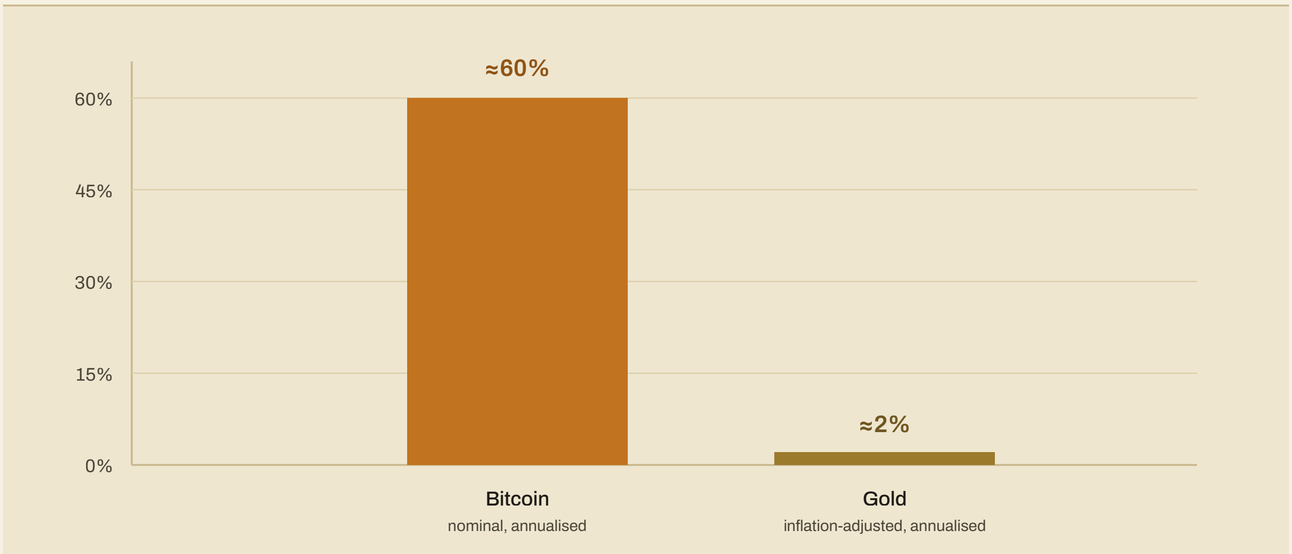

Fig. 1 — Average annual return, trailing decade, as cited in the debate. Bitcoin's figure is nominal price appreciation; gold's is corrected for inflation, which was the comparison Schiff himself invoked.[1]

None of this proves Bitcoin will keep compounding at anything close to sixty percent a year — no honest reading of the data suggests a fifteen-year-old asset's early growth rate is a permanent feature rather than a symptom of a small, illiquid market being discovered. But it does mean Schiff's price-in-gold argument, taken on its own terms, needs a stronger foundation than "it is down over three years." Every hard-money asset in history has had multi-year drawdowns against its rivals. The question that actually matters is which asset is compounding faster over the timeframe an investor, rather than a debater, would actually use.

IV

The Inherent Value Fallacy

The debate's most philosophically loaded exchange arrived when Schiff argued that gold's value does not come from its scarcity but from its properties as a metal — that it is useful in jewellery, in electronics, in industry, and that this independent usefulness is what makes it valuable, whereas Bitcoin, lacking any use outside of being held and exchanged, has nothing underneath its price. Mallers's response was blunt: all value is subjective. And on that specific point, the older Austrian tradition both men invoke is unambiguously on Mallers's side.

This is not a minor technical foul on Schiff's part — it strikes at the foundation of the very school of economics he claims to represent. The Austrian school, from Menger through Mises to Rothbard, spent a century demolishing exactly the labour-theory and intrinsic-value accounts of worth that classical and Marxist economics relied on. Value, in that tradition, is not a property embedded in an object by the material it is made of or the labour that produced it; it is a ranking that an acting individual assigns to a good, at the margin, based on the satisfaction they expect it to provide relative to their next-best alternative. Gold's price is not high because it is useful in cufflinks. It is high because people who want to save value across time and distance rank gold highly for that purpose — and the industrial demand for gold is a rounding error against the monetary and store-of-value demand that actually sets its price.

THE INTRINSIC-VALUE CLAIM

Gold has value because gold, the metal, does things other metals cannot: it does not tarnish, it conducts, it can be worked into jewellery and electronics. Bitcoin, by contrast, cannot be touched, worn, or consumed — it "does nothing" apart from being exchanged, and so has nothing to anchor its price besides speculation.

THE AUSTRIAN REPLY

Value is not a property of matter; it is a judgment made by acting minds. If gold's price tracked its industrial usefulness, its price would move with electronics demand, not with real interest rates and central-bank reserve policy. What both assets are actually priced on is confidence in their ability to hold and transmit value through time — a monetary, not a material, property.

There is a sharper version of the same point buried in the debate that neither man quite stated outright: an asset being consumable is, if anything, a liability for a money rather than an asset. If half of gold's usefulness lies in being melted into circuitry, then half of the gold supply is, over time, being permanently removed from the pool of savings — which is precisely why industrial and jewellery demand for gold does not strengthen its case as money, but weakens it, in the exact way the next section addresses directly.

V

Twenty-One Million and the Satoshi Objection

Schiff's second scarcity argument was, on its face, more mathematical: Bitcoin is scarce in the sense that there are 21 million of them, but that scarcity is meaningless, he argued, because each Bitcoin divides into 100 million satoshis — 2.1 quadrillion units in total, more than enough for everyone alive to hold hundreds of thousands each. A Bitcoin, on this reading, is "just a string of numbers," no different in kind from any other cryptocurrency's ticker, and infinitely divisible scarcity is not scarcity at all.

This is the argument commonly labelled, with some affection, the infinite-pizza fallacy: the observation that a single pizza can be sliced into a million pieces does not mean the restaurant has an unlimited supply of pizza. Divisibility changes the denomination in which value is measured; it does not change the quantity of the underlying good. There will only ever be 21 million whole bitcoin, full stop — the fact that each one can be subdivided into a hundred million satoshis for the purposes of small transactions no more dilutes that ceiling than the existence of pence dilutes the number of pounds in circulation, or cents the number of dollars. Schiff's own preferred asset makes this obvious by analogy: gold can be shaved, alloyed, and divided into arbitrarily small grains, and no one has ever argued that this divisibility makes gold less scarce.

What the objection does gesture toward, even if it does not land as an argument against scarcity, is a real and separate question: whether a monetary asset needs to be usable at every scale, from a cup of coffee to a container ship, without friction. That is a legitimate design question — and one Bitcoin answers, imperfectly but functionally, through exactly the divisibility Schiff was trying to use against it. A monetary good that is infinitely divisible but never runs out of course-grained units to divide is not a design flaw. In an economy that has to price everything from a satoshi's worth of API metering to a nine-figure institutional allocation, it is closer to a requirement.

VI

Money Is the Good You Do Not Consume

The most conceptually interesting moment in the whole exchange was also its most overlooked. Mallers offered a definition of money that neither Schiff nor David Lin pushed back on, and it deserves more scrutiny than it got in the moment: money, he argued, is the market good that you do not consume — you acquire it strictly to save it and to exchange it for other things later. On that definition, an asset's suitability as money is inversely related to how much of its supply gets pulled out of monetary circulation and consumed for some other purpose. If you took half of a fixed-supply monetary good and diverted it into jewellery, electronics, or ornamentation, you would not have made that good more valuable as money. You would have made it a worse one, because the pool of the asset actually available to function as savings and exchange would have shrunk.

This is, whether Mallers intended the reference or not, a fairly precise restatement of a claim the Austrian tradition has made for over a century: that money's function is to serve as a medium of exchange and a store of value, and that a good's other uses — however commercially significant — are separate from, and can actively compete with, its monetary role. Silver's demonetisation over the twentieth century is the textbook case: as industrial demand for silver grew, the metal's monetary role receded, precisely because a monetary good under sustained non-monetary demand pressure becomes less reliable as a place to park savings, not more.

> *"Money is the market good that you do not consume — you strictly acquire it only to save it and exchange it for things later."*
>
> JACK MALLERS, ON THE FUNCTION OF MONEY

Schiff's own defence of gold's monetary credentials, ironically, undercuts this same standard. He argued during the debate that a good does not need to be accepted at the point of sale — that Papa John's declining to take gold for a pizza does not disqualify gold as money, because gold was money for millennia before Nixon closed the gold window in 1971, and it remains, in his words, something he would personally accept in a transaction. That may be true of Schiff personally. It is not true of the market Mallers's definition actually describes, and it is the subject the next section takes up directly: not whether gold was money, but why, by Schiff's own admission, it currently is not.

VII

Why Gold Failed

The debate's decisive moment, and the one both commentators and the participants themselves treated as such, came when Mallers asked Schiff directly whether a money needs to be accepted at the point of sale to qualify as money. Schiff's answer — that gold is not, in fact, functioning as money today, and has not been for roughly the fifty years since the gold window closed in 1971 — was an important concession, and to his credit he did not try to walk it back. Gold, on Schiff's own account, has been demonetised. It remains a commodity, held mainly by central banks as a reserve asset, but it does not circulate, does not settle everyday transactions, and does not function as the medium of exchange it was for most of recorded history.

Mallers's explanation for why that happened is the sharpest analytical point in the entire debate, and it is worth stating in full because it reframes gold's failure as structural rather than incidental. Gold, he argued, cannot achieve transaction finality between strangers without the involvement of a trusted intermediary. That worked well enough at local scale — a butcher, a tailor, a grocer trading physical coins with a counterpart they could see and verify. It broke down once the economy that needed to transact was not a village but a planet. Settling gold-backed value between billions of people spread across the globe required someone to hold the metal, vouch for its authenticity, and clear the resulting claims — which meant banks, and then central banks, and then governments. Gold's monetary network, on this account, was never really the metal. It was the fallible, corruptible human institutions built on top of it, and it was the failure of those institutions to keep an honest account of what they held that produced fiat currency in the first place.

The historical record bears this framing out with unusual precision. Gold's demonetisation was not a single event but a series of steps, each one a government response to the same underlying problem: a monetary system that depends on trusted custodians is a monetary system that custodians can, eventually, betray or override.

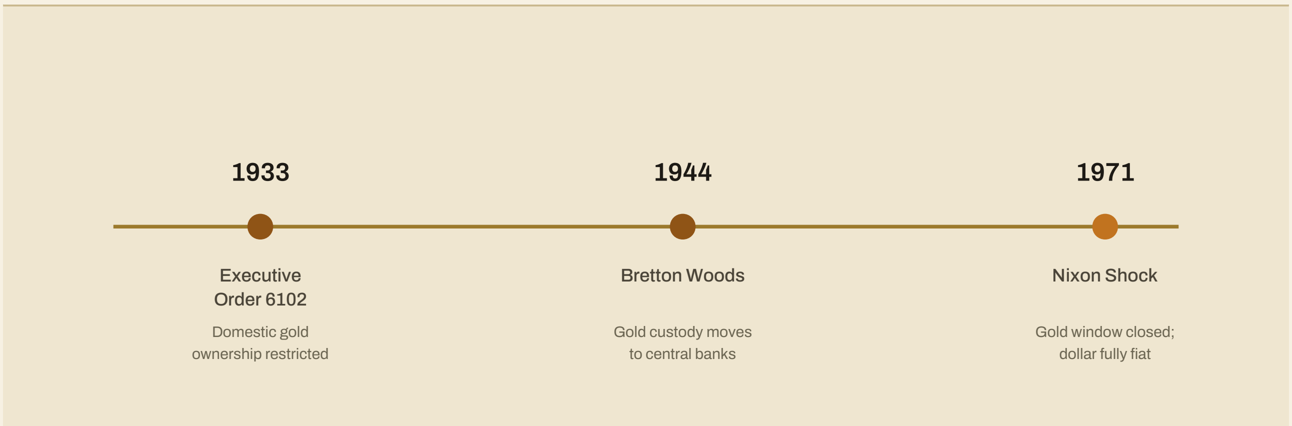

Fig. 2 — Gold's demonetisation in three steps. Each stage transferred custody and settlement authority further away from the individual holder and toward a central institution, until the metal itself was severed from the currency entirely.[2]

Read this way, Bitcoin's core innovation is not that it is scarce, or portable, or divisible — gold, in its own era, was reasonably good at all three. Bitcoin's innovation is that it lets a scarce bearer instrument settle finally, between strangers, at global scale, without requiring either party to trust a custodian. That is the property gold structurally cannot offer, no matter how the metal itself is redesigned, because the limitation was never in the atoms. It was in the requirement that someone hold them on your behalf.

VIII

Two Young Monies, One Old Fight

For a matrix of how the two assets actually compare across the properties classical monetary theory looks for — scarcity, portability, divisibility, durability, verifiability, and the specific quality of settlement finality without a trusted third party — the picture that emerges from the debate is one of near-total overlap on the older properties and a single, decisive split on the newest one.

	Gold	Bitcoin	Fiat
Fixed, verifiable supply	●	●	○
Portable across distance	○	●	●
Divisible without loss	●	●	●
Durable over centuries	●	○	○
Costly to counterfeit	●	●	○
Final settlement, no 3rd party	○	●	●
Resistant to seizure by decree	○	●	○

● Full property held ○ Partial or contested

Bitcoin is the only asset of the three with settlement finality that does not run through a custodian — the single property the debate turned on.

Fig. 3 — Monetary properties compared, scored against the debate's own criteria. Gold and Bitcoin are close to tied on the classical properties; the split opens on trust-minimised settlement, which fiat holds on none of.[3]

What the debate's closing exchange made explicit is that both men understand this. Schiff conceded, without prompting, that Bitcoin's youth is not a disqualifying flaw so much as an evidentiary gap — a demand for more history that Mallers, not unreasonably, compared to insisting on more proof that email works before giving up the position that traditional post is obsolete. And Mallers, for his part, closed the debate by refusing to treat gold with the contempt some corners of Bitcoin culture reserve for it, describing his own respect for Schiff and for the fight Schiff has spent three decades fighting. Neither man walked away from the framing that mattered most: that Bitcoiners and gold bugs, whatever separates them, are on the same side of the actual battle line, which runs between hard money of any kind and the discretionary fiat system both were arguing against the whole time.

EDITOR'S CLOSE

Summary

Strip away the format — the moderator, the clips, the clean three-round structure a video essay imposes on what was really a sprawling two-hour conversation — and the Mallers–Schiff debate reduces to a single disagreement standing on a mountain of agreement. Both men accept that fiat currency, expanded at the discretion of central banks and governments, is not a neutral unit of account but a slow transfer of wealth from savers to whoever gets to spend the new money first. Both accept that a sound money must be scarce, portable, divisible, durable, and hard to counterfeit. Both accept that the twentieth century's great monetary experiment — a currency backed by nothing but the promise of the institution issuing it — has been a worse deal for ordinary savers than either gold or Bitcoin. Where they split is narrower than the debate format made it look: not on what a good money needs, but on which of two hard assets can still deliver it at the scale a modern, global, stranger-to-stranger economy actually requires.

That is a real disagreement, and this essay has tried to take it seriously rather than resolve it by decree. Gold's case does not fail on scarcity, durability, or historical pedigree — it fails, by Schiff's own admission, on the one property that determines whether an asset can still function as money today: it cannot settle a transaction between strangers without a trusted custodian standing between them, and it was that dependency, not any defect in the metal, that let 1933, 1944, and 1971 happen in sequence. Bitcoin's case does not rest on being flashier or newer — it rests on removing that custodian from the equation entirely, at the cost of a track record measured in years rather than millennia. Reasonable people, including two men who agree on almost everything else, can and do weigh that trade-off differently.

But there is a reason both of them, at the end of two hours of genuine disagreement, chose to end on the same note of mutual respect rather than a victory lap — and it is the same reason this series keeps returning to monetary history in the first place. Every hard money, gold and Bitcoin alike, is an attempt by ordinary people to build their economic lives on something that cannot be quietly rewritten by the people who issue it. Fiat currency, whatever its short-term convenience, is built on nothing sturdier than the discretion of its custodians — and discretion, history shows again and again, is not a foundation. It is a decision, made by someone else, that can be unmade.

Build your house on firm foundations — whichever hard money you choose to stand on. Whatever else separates a Bitcoiner from a gold bug, both have chosen to build on rock rather than sand, and that choice matters more than the argument over which rock is harder.

"And the rain descended, and the floods came, and the winds blew, and beat upon that house; and it fell: and great was the fall of it."

MATTHEW 7:27, QUOTED IN CLOSING

SOURCES

References

1. Bitcoin and gold annualised-return figures as cited by Jack Mallers during the debate; gold figure presented as inflation-adjusted, Bitcoin figure as nominal price appreciation over the trailing decade from the debate date.
2. Timeline dates: Executive Order 6102 (1933, United States); the Bretton Woods Agreement (1944); the "Nixon Shock" suspension of dollar–gold convertibility (15 August 1971).
3. Property comparison synthesises claims made by both debate participants against the classical monetary-theory criteria (scarcity, portability, divisibility, durability, verifiability) plus trust-minimised settlement finality, the property the debate's central exchange turned on.
4. Mallers, J. and Schiff, P., debate on Bitcoin versus gold, moderated by David Lin, released August 2024.
5. Menger, C., On the Origin of Money (1892 translation); Mises, L. von, The Theory of Money and Credit (1912), for the subjective theory of value and the regression theorem referenced in Sections IV and VI.
6. Matthew 7:24–27, King James Version, for the closing allusion.

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